



Accountability

Responsibility for economic policy is usually shared between a country's government and its central bank. By reporting their decisions to the public and to democratic institutions, they can be made more accountable to the people.

How it works

Democratic countries typically insist that governments report annually to their legislative bodies about taxation and spending plans for the next year. This annual budget has become the central instrument of government fiscal policy, and its contents are widely

scrutinized. Before the 2008 crash, monetary policy had been increasingly left to central banks. However, since then the policy and the banking system's role in it have been subject to more rigorous examination, and taxation and spending plans now tend to dominate the debate during national elections.

